

The Social Radars

S4: Tyler Shultz, Theranos Whistleblower (Part 2)

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Jessica: I'm Jessica Livingston, and Carolynn Levy and I are the Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

So Carolynn, we are back with Tyler Schultz for part two of his story, which, if you listen to the first part, you'll be on the edge of your seat. We talked about how he started working at Theranos fresh out of college, and he noticed that the company's blood testing machines were producing unreliable and inconsistent results, and that these were being covered up. And he began expressing concerns about the potential for misdiagnoses, and risks to patients. So he spoke up, and he spoke up to all the right people.

He went to Elizabeth Holmes, he went to his grandfather, who was on the board of directors, went to the COO. No one listened. And not only did they not listen, they gaslit him into thinking he was wrong, and tried to silence him. So he resigned, and it was quite a harrowing resignation story, that was very dramatic and stressful, made even more complicated by the fact that his grandfather was on the board, and then he thought he could move on with his life. And little did he know, it was really just the eye of the storm for him. The other shoe was about to drop. So Tyler, I'd like to pick up, kind of where we left off. You resigned from Theranos, you get a job at a lab at Stanford, and everything's going okay.

Tyler: Yeah, life is good. I worked in that lab at Stanford for about three months through the summer. And then actually one of my former managers from Theranos kind of recruited me into a team that she was building at Roche, a big biotech company. So she was someone who I had really respected while I worked there, and we worked really, really well together. And so I was just super excited to rejoin her team, and I was doing great enzymology work over at Roche, and had felt like I had left Theranos behind me.

Carolynn: And then what happened?

Jessica: And then what happened?

Tyler: And then that turned out to be completely untrue, and it became very apparent that even though I had left Theranos, that Theranos was not going to leave me alone, because at Thanksgiving we learned that Elizabeth was invited to our Thanksgiving dinner. And it's not like it was a huge dinner, with a hundred people, and Elizabeth just happened to be one of the guests. It was very intimate. It was literally just me and my parents, Elizabeth and her parents, and my grandparents.

Jessica: I know this is so random, but why doesn't she do her own Thanksgiving? Why is she at Christmas and Thanksgiving at your grandfather's events? Why? Are they that close?

Tyler: It's a really good question. I don't really know. They did seem to be that close. They were extremely, extremely close. Elizabeth was certainly closer with my grandfather than she was with her own family. She would talk about how she really only saw her parents for a couple hours on Christmas Eve once a year. That's the time that she had set aside to be with family. And she was very open about that. And again, it went back to this whole idea of having this monk-like devotion to Theranos. It was like, family is too big of a distraction from my purpose in life.

Jessica: It's weird that parents got invited to this Thanksgiving dinner, if she's not even that close to them though.

Tyler: Yeah. Well, I think my grandparents invited them. I think my grandparents felt like Elizabeth should spend time with her parents. So we're going to invite them all. Yeah.

Jessica: Right. Sorry to digress, but that is a really intimate setting, and you have not seen her since you've resigned. And in the meantime, I should point out, she has just skyrocketed to fame. She's on the cover of all these magazines. She raised a mega round of \$700 million, at some huge multi-billion dollar valuation, I forget exactly what it was. She was everywhere you looked.

Tyler: Yes, she was everywhere you looked. That was when she became the media darling of Silicon Valley.

Carolynn: Yeah.

Jessica: Yeah.

Tyler: I remember my parents didn't even want to go to Thanksgiving. They were so mad at my grandparents for inviting her and her parents, that they said, "We are just not going to show up. We're going to do our own thing. We're not going to go deal with this." And I said, "This is exactly what Elizabeth wants. If we don't show up to our own family's Thanksgiving dinner, then she wins. And I do not want to let her win. She wants to push us out of our own family, and we're not going to let that happen. So we're showing up to Thanksgiving dinner, and it's going to be uncomfortable for us, but I guarantee you it will also be uncomfortable for her."

Jessica: Nice. Okay. What was it? What happened?

Tyler: It was uncomfortable for everybody, no doubt. The conversations were all pretty awkward. Theranos had just moved into their new building on Page Mill Road, so they had started out in actually the old Facebook building. So Mark Zuckerberg and Facebook moved out of this building, and Theranos moved in, and that was the building that I worked in. And then when I left, they moved into this brand new sparkling building on Page Mill Road. So conversation was just kind of around that. What I found really

interesting is, on my first day, or one of my first days when we had just moved into the old Facebook building, Elizabeth gave a tour to some scientists. And part of that tour there was Mark Zuckerberg's office, that was ... it had some kind of name like the Cube or something. It was all glass, and he could kind of look out into this sea of where all the software developers would be, just a big open space. And I remember her telling us that the glass was bulletproof, and she looked down on Mark for that, because she said something like, "He treated his employees so badly that he was afraid that one of his employees was going to come in and shoot him one day. So he made sure that the glass in his office was bulletproof."

Jessica: Oh, that's rich.

Carolynn: I don't believe that. I wouldn't know-

Jessica: I don't either.

Carolynn: That does not sound right to me.

Jessica: That doesn't sound right to me either.

Tyler: I wouldn't take her word for it for sure, but this is what she told us. I just thought it was so funny that she was kind of looking down on Mark for mistreating his employees. And then in the new building, on Page Mill Road, she was bragging about how every window was bulletproof. It's like, do you not see what has happened here? And then she also talked about how ... well her parents hadn't even gotten a tour of the new building yet, which just seemed crazy. And I remember after dinner, my mom told me, if you're ever this huge billionaire, and you build a new building, you better give me a tour of that building.

Carolynn: That's the least of their problems.

Jessica: I will, mom. I know. Really.

Tyler: My mom was like, it's just so rude of Elizabeth to not give a tour of this building to her parents.

Carolynn: That family clearly had a lot more issues to work out than just mom getting a tour of the new building.

Tyler: Yeah, I think so. I think so. But for the most part, it was pretty boring. It was pretty awkward. Probably the most notable part about dinner was, Elizabeth stood up and gave a toast. And her toast I found to be incredibly creepy. Essentially she raised her glass, and in my memory, she was just staring straight into my soul. It probably wasn't actually like that, but in my memory, it was like these glowing night king eyes just piercing into my soul. And she said, "I just want to say that I love and appreciate every single member of the Schultz family." And it felt like she was really specifying me, in what she was

saying. I feel like she maybe wanted it to sound like an olive branch, that she was reaching out to me with, but to me it felt like the killer's in the house, type of vibe.

Jessica: You weren't tempted to be like Elizabeth. How can you say that after what you put me through? Or does that just make it more awkward and you wanted to get out of there intact?

Carolynn: Keep in mind, he resigned, but he also sent all these very respectful emails saying, "Hey, I'm worried." And everyone's like, go away. And he just went away. So I am just guessing here, Tyler, but the real drama hadn't even happened yet.

Jessica: Right?

Tyler: No, the real drama hadn't even happened yet. And so I'm sure Elizabeth was probably trying to smooth things over the best she was able to, to make sure that I wouldn't continue to be a problem moving on. But the way it came off, I found to be just incredibly creepy. And I actually remember raising my wine glass, and my hand was shaking uncontrollably, and it was like, "brain tell hand to stop shaking", and I couldn't do it. because I was just so angry, and I don't even know what the emotion was, but I was angry and scared, and just incredibly frustrated, all at the same time.

Jessica: Yeah. Wow.

Carolynn: Okay. So you make it through Thanksgiving then, so then what happens that kicks things off?

Tyler: Yeah. The next big event, when things start happening, is when a Wall Street Journal reporter actually reached out to me. And I'm skipping a little bit, so I had actually ... We were in a meeting at Roche, myself and my current manager, who was also my former manager at Theranos. And in this meeting, she turned her laptop to me and showed me that a Wall Street Journal reporter had reached out to her on LinkedIn. And there wasn't a whole lot in the message, but it looked like he was a real reporter. Whereas, up to that point in time, when she was on the cover of all these magazines, it seemed like no one had actually asked her a tough question. No one was doing true reporting, they were just fluff pieces to go into magazines. And so after the meeting, I kind of looked at his LinkedIn profile on my own laptop, to kind of do more research into who this guy was. And then, he had seen that I looked at his LinkedIn page.

Jessica: So yeah, I hate that about LinkedIn.

Carolynn: It's so weird.

Jessica: Remind me, Theranos was not on your LinkedIn resume, because you weren't allowed to have that, correct?

Tyler: Correct. Yeah, Theranos was not on my LinkedIn profile, but he had seen that I looked at his LinkedIn, and I'm sure he knew who I was, just based on his previous research, and he at least knew who my grandfather was, and could probably see the same last name.

Jessica: Okay.

Tyler: So he had the LinkedIn premium and I didn't, so he could see that I was looking at his LinkedIn page. And then he just sent me a fairly benign LinkedIn message, that said, Hey, I'm doing a story on Theranos, let me know if you want to talk, something along those lines. So then I actually talked to my manager about it. I talked to my parents about it. They all said, "It's awesome that someone's looking into this, but do not talk to him. This will just ... you're just opening up a hornet's nest, if you go talk to this reporter." But I just couldn't get that idea out of my head. I had let a month pass, and I didn't respond to him, but in my research, I had learned that he had actually previously won a Pulitzer Prize for exposing a Medicare fraud. And so I felt like he could be the right person to ask the right questions. And I don't know what it was. I could not say something, when he had reached out to me. I had tried to raise concerns with so many people and had just gotten shut down over and over and over and over again, and here was someone who finally popped up and said, "Hey, I want to hear about this. I want to listen. I want to learn."

So I thought, I'm going to call him. And the way I kind of justified it to myself, was that I'm not doing any harm. What I want to do is help him ask good questions. And if Elizabeth and Theranos have all the right answers, then that's great. That's fine. My children's trust fund will be much healthier for it. That's a great thing. I'm totally fine being wrong. I'm more than fine being wrong. I would be so happy to be wrong. I just want to help somebody ask a good question, and hold her accountable. And I also knew that patients were being hurt, based on the data that I saw there. And while I was there, I remember hearing about instances where we were sending patients to the emergency room, because their potassium levels were so high. So I knew patients were being hurt. And then I also wanted to make sure that my grandfather had an opportunity to actually address this while he was alive. And so ultimately, I decided I'm going to at least call the reporter, learn about what his angle is, see if he'll tell me about what he knows, and then I'll decide if I want to work with him.

And I was just shocked at how open he was with me, because at that point in time, everyone was so cagey and secretive about what they knew, and who they were talking to. And so when I called him and asked, "Hey, what do you know about Theranos?" And he just listed out a whole bunch of stuff, a lot of the stuff that I had told you in the previous episode, plus things that I had never heard of, such as the chief scientist who took his own life. I just learned about that. So I felt-

Jessica: And you knew Ian Gibbons. You knew that scientist when you were [inaudible 00:13:45].

Tyler: No I didn't, no, that was the weirdest thing. No, I didn't know him at all.

Carolynn: Because you were so isolated from all the other teams.

Tyler: Yeah, we were so isolated. I'd never heard of him.

Jessica: Wow, okay.

Tyler: So yeah, that was just another really eerie type of feeling. And so, in the phone conversation with him, I just realized he's definitely the right person. He has the right background, he's well resourced at the Wall Street Journal. He's clearly talking to the right people. So he clearly had a source that was above my pay grade, based on some of the things that he knew.

And at that point in time, he said, "I'm basically looking for corroborating sources, to confirm all this stuff." And I just wanted to help him, I wanted to work with him. And what I told him was, or at least part of what I told him was, my grandfather was part of the Nixon administration during Watergate. He was part of the Reagan administration during the Iran-Contra scandal. And he made it out of both of those with his integrity completely intact. And he's someone who's actually well known for his moral compass, and doing the right thing in tough situations. So I said, "If he's given the opportunity, he's absolutely going to make things right with the people that Elizabeth has hurt. So I want to make sure he has that opportunity." Because he was 95 years old at the time.

Jessica: Wow.

Tyler: I know it's going to come out. I want it to come out sooner rather than later, so that she can't drag his name through the mud forever. And so that was part of my motivation. And I told John about this email exchange that I kind had with Elizabeth and Sonny, and I could practically hear him salivating over the phone.

Carolynn: He's like, oh yes.

Tyler: Yes. He wanted to see that exchange so badly.

Carolynn: By the way, just out of curiosity, when you're talking to him, I'm assuming you're talking to him on background at first, and then at what point did you guys talk about you being on the record?

Tyler: Right. So initially I was speaking to him on deep background. So what I was told was that he could use what I gave him to guide his reporting, but he could not directly quote anything. He could not put my name on anything. And so I did feel like there was some level of protection there, and it wasn't until much, much later that I ... probably about a year plus later, year and a half later, that I went on the record. So it took a long time.

Carolynn: All right, so we're just in background now, with John?

Tyler: Yeah. We're just in background. And I knew that he had some sources. I didn't know how many, I knew he was talking to Ian Gibbon's widow. I knew that he was talking to someone, again who was above my pay grade. I knew that Erica had wanted to talk to

him, and had probably reached out to him. I didn't know that for certain, but I kind of thought that was the case. So I knew that there was at least a solid group of us.

Jessica: Can I point out that, is the person above your pay grade Adam Rosendorff?

Tyler: Yes.

Jessica: Okay. Who was a former lab director?

Tyler: Right. So he was a lab director while I was there. And I don't know exactly what happened, but he ultimately somehow became kind of the first source for the Wall Street Journal. But what I didn't know was that, after I agreed to be a source, he had kind of backed out. So that did leave myself and Erica a little bit more vulnerable than I think we realized, because I mean, John didn't tell us that he had backed out. I mean, he didn't even tell us that he was a source, to begin with, and he didn't tell us that he had kind of backed out as being the source.

Carolynn: But Adam never ended up going on record. Is that sort of the long and short of it?

Tyler: Correct. Yeah. He never ... His name is even a pseudonym, in the book Bad Blood. So even at that point he was unknown, and wanted to remain unknown.

Jessica: Right. Alan Deem.

Tyler: Alan Deem. Yeah.

Jessica: Yes, I know all the players.

Tyler: You do. Yeah. His name didn't become public until I think some of the trials. So in that first call, I had essentially agreed to become a source, and I agreed to give him a copy of this email. And I also gave him a copy of the email exchange that I have with the New York State Department of Health. So I gave him a lot of information, I think. And then we met up, probably a few weeks later, at a bar in Mountain View. And I do remember him kind of commenting on how nervous I was, when I met with him.

Carolynn: Understandably.

Tyler: And he said something like, "You know, they are just a startup." And he had a point. It is like, this is not the CIA that you're spilling the beans on. They're just a startup.

Carolynn: Little did he know.

Jessica: It's true, Carolynn, we shouldn't laugh-

Carolynn: Yeah, I know I shouldn't laugh.

Jessica: ... [inaudible 00:18:26] because they aren't just a startup. It's not some deep government security secret or something.

Carolynn: I know, but once you know the story, and what actually happened, it is terrifying.

Jessica: I know.

Carolynn: They're terrifying.

Tyler: They're terrifying.

Carolynn: Yeah. I can see why he said that, and I'm sorry to laugh, but just yikes.

Tyler: And I remember thinking, he might be underestimating Elizabeth a little bit here, and I think later he did realize that. I think he realized, okay, yeah, I underestimated Elizabeth quite a bit. One day I just went home to have dinner with my parents. I drove down 25 minutes, and I walk in the door, and my dad had just gotten off the phone with my grandfather, and he said, "Did you talk to the Wall Street Journal reporter?" And I told him the truth. I said, "Yeah, I did." And my dad was just absolutely furious with me. He said, "You know how powerful they are? You know how much money they have, you know who's on their board. You know how scary and intimidating they are. They're going to destroy your life. They know that you're a source, and they're going to destroy your life."

Carolynn: Okay, so wait, let me back up for just a second. They knew that a story was being worked on, and they decided you were the source.

Tyler: Correct. So after doing some research for, I don't know, some period of time, John finally did reach out to Elizabeth, for essentially comment.

Carolynn: Right, okay.

Tyler: And then Theranos went into full blown attack mode. This is when we see in the background, Elizabeth and Sonny exchanging texts, where Sonny says, "I've narrowed down to five people," and Elizabeth said, "It's Tyler." And Sonny said, "We're going to nail this motherfucker. Taking his legs out one at a time is the best way." All this kind of crazy mafia type talk.

Carolynn: Why did they immediately assume it was you?

Tyler: Yeah, so it was pretty obvious, in some ways. In the HBO documentary, The Inventor, they show recordings of the Wall Street Journal, and their council meeting with the Theranos Council. And in the recording, Theranos Council says, "The concerns you want to publish, are the exact concerns that Tyler Schultz raised in the short period of time that he was here." So it was, I think, pretty obvious to Theranos.

But at the time, I didn't know what they knew. I didn't know how obvious it was. And so I actually told my dad, I was like, "There's no way they actually know that I'm a source. I did my research on this reporter. He'd won a Pulitzer Prize. He's not going to just say, "Hey, I spoke to Tyler the other day and he told me, XYZ, I know I have more protection than that, even though they want me to think I don't, I know that I have more protection than that."

Jessica: Can I interrupt and say, I feel like they're messing with your head at this point, through your grandfather?

Tyler: Definitely.

Jessica: Okay.

Tyler: They're almost like overplaying their hand a little bit, because they just have a lot more information than I have, and they know that. So I decide, I'm just going to call my grandfather. And I called him up, and he just said, "Hey, Tyler, tell me what's going on." And I said, "Honestly, I have no idea. You got to tell me what's going on." And he said, "I've been talking to Elizabeth, and she said that you've been giving trade secrets away to the Wall Street Journal, and ..."

Carolynn: Trade secrets.

Tyler: Carolynn, you're the lawyer here. So I'm always looking for ... I'm sure what he said, there's some truth to it, but most of it was not true. He said, "Once the Wall Street Journal publishes their reporting, those trade secrets will no longer be defensible. In order to show that they tried to defend their trade secrets, they need you to sign a one page non-disclosure agreement. And then, if they do publish the trade secrets, as long as they've shown that they've made an attempt to protect them, they still remain trade secrets."

Carolynn: No, that doesn't sound right to me. My understanding, and I'm not an IP lawyer, is that, it's like once the secret's out, it's just not a secret anymore. Signing a piece of paper, it's not going to fix that. I can stand corrected here, but I think that's the whole point of the secret, right, is nobody knows-

Tyler: Is that it's a secret.

Carolynn: It's a secret. Yeah.

Tyler: Once you publish the trade secret to Coke, it's not a trade secret anymore, because too many people know.

Carolynn: Yeah, exactly, if you publish the Coke recipe, and then someone signed an NDA, like how does that un-ring the bell? I guess their point was, we were trying to defend it, but I don't think that ... it probably helps with damages and stuff, but it doesn't fix the problem, is the way I understand trade secrets.

Tyler: So what he told me, I, again, not a lawyer, but what he was saying was, "This doesn't really make sense. Something doesn't sound right here." But the purpose, I guess the purpose of the call was, he wanted me to sign this non-disclosure agreement. And he was like, as long as you sign this new NDA, Theranos can say they protected their trade secrets. And then it's like no harm, no foul. And in that call, I actually didn't comment one way or the other, whether I had spoken to the Wall Street Journal or not. I was trying to just mostly listen, and toward the end I just said, "Okay, I'll sign, I'm happy to sign a one page non-disclosure agreement, that says I will not disclose trade secrets moving forward. Before I do that, can I just come to your house tonight, and talk to you without any lawyers around? I just want to talk to my grandfather." And he said, "That sounds great. Come on over at nine o'clock. Charlotte and I are out at dinner, but we'll be back around 9:00, 9:30, so come on over."

Jessica: Can I interrupt quickly, just because I feel like it was glossed over. Your dad was mad when he got this call. Was he not like the maddest he's ever been at you?

Jessica: He got this call.

Tyler: Mm-hmm.

Jessica: Was he not the maddest he's ever been at you?

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Tyler: Yes, by orders of magnitude, probably.

Jessica: I just want the audience to realize the level of stress on this.

Tyler: Yes, the stress level, literally, it could not be higher. My dad is generally a very calm, cool, collected person. I think also, not to pat my own back, I think I was a good kid. I didn't get in a lot of trouble when I was a kid. My dad was always strict with us, but he was never angry. I had never seen my dad angry or that upset in my life. And it just shows you how tense the situation was, because I feel bad for my parents. It was like, he feels like he just watched his son throw his life away.

Carolynn: Gosh, way to put it.

Tyler: I mean, he was right, and Elizabeth and Sonny and Theranos tried to do the things that he said they were going to do to me.

Carolynn: It's amazing he knew. He knew. He knew just from having awkward dinners with her and from hearing you talk about her before she was as scary as it all got. He already knew that.

Tyler: Yeah, I mean, I think Elizabeth had made it clear in the culture that they were building at Theranos to everyone, what they were willing to do to defend their trade secrets, and what they were willing to do to people who got in their way.

Carolynn: Yeah.

Jessica: So you drive to your grandfather's house and this is when the shit hits the fan.

Tyler: Yeah, so before I drive to my grandfather's house, first I go home to the house that I was renting with five or six friends. I mean, I was panicked. When I was driving home, I was literally screaming profanities in the car as loudly as I could, just, I don't know, just to get it out. And I got home and I was clearly panicked and I was telling one of my housemates about what was going on, that I was about to go over to my grandfather's house. And he asked, "Well, when you go over there, are you going to tell him the truth or are you going to lie to him and tell him that you had not spoken in the Wall Street Journal?" And I said, "The truth is on my side. I've always told the truth, and as long as I continue to tell the truth, things will work out for me." And he just said, "Dude, you should definitely lie." And he's like, "I understand that it's not something that you're going to be comfortable with, but you need to go over there and collect information. And at any point you can decide to tell him the truth if it's in your best interest, but you need to go over there and just collect as much information as you can, and until you know that it's in your best interest to tell him the truth, do not tell the truth. Just collect information."

Jessica: This is very prescient advice. It's incredible how important this advice was to your story. So, go on.

Tyler: Absolutely, yeah. And then actually, the other thing he said is, "You should talk to a lawyer before you go over there." And that was also great advice. I should have listened to this friend a lot more.

Carolynn: Are you still friends with this person?

Tyler: Yeah, definitely. And he was like, "I know a lawyer who's a friend of mine, let me call him." We were calling the phone number and as the phone was ringing, I was like, "Hang up. You have to hang up. I cannot talk to anybody about this."

Carolynn: Oh, wow.

Tyler: Yeah, that is how scared I was, and really how much I didn't know about the situation I was in. I was too afraid to talk to a lawyer because I thought it was precluded by my NDAs.

Carolynn: NDA, by the way, we should clarify, is the one you signed at Theranos, not the one that was waiting for you at your grandpa's house?

Tyler: Correct. Correct, yeah. So I clearly just didn't know what I was doing. I had not interacted with the legal system enough to really have a good grasp on the situation.

Jessica: Most 24 year olds haven't. Let's face it. I mean, when you finish telling the story, you seem so sophisticated. So, go on.

Tyler: Yeah. So I thought, that's really smart. I should try to lie and collect information. But I didn't even know if a lie could be plausible in any way. So I thought, I got to know what the Wall Street Journal reporter told Elizabeth. So I called John, and I was again panicked, and I said, "Did you tell them that I'm a source?" He said, "No, of course not." And he said, "I'll send you every communication I've had with them, because there's very little, actually." I said, "I would love to read that."

So he forwarded me this email that he sent to Elizabeth where he just asked her probably 10 or so questions, and there was not really an answer to any of them. And just based on that first email that he had sent them, they had figured out that I was a source. And in reading it, I actually felt very comforted because I felt like there's nothing in here that could exclusively have come from me, except for one number. He wrote that for some of the tests, your coefficient of variation can be as high as 42.9%, like it was for TSH.

So it was a very specific piece of information with three significant digits in the number. And I just thought, that is how they figured me out, is just that one number? But I also thought, scientists share data and information all the time. It's completely plausible that I could have calculated that number and I included it in my email to Elizabeth, which is why they're able to pick it out so obviously. But I could have also shared it with tons of people. So I felt like that is not damning. That is not damning at all. So then I felt like, okay, I can lie.

So I went over to my grandfather's house and I got there before they actually came home, so I waited outside their house for my grandparents to come home from the party, and I go in when they get home. We go in and we discuss, and I kind of reiterate all the old points that I'd already gone over with him. He reiterated all of his own points. He again said that these devices are currently in medevac helicopters. He said that the person who Henry Kissinger says is the smartest person in the world is this surgeon from New York, and that surgeon says that it's revolutionizing the field of surgery. He said that it's currently in operating rooms at UCSF. And again, I just said, "There's no way any of this is true. I don't know how else to explain it to you. There's flat out no way." And he said, "Well, whatever the case may be, would you sign a one-page non..."

Oh, actually I skipped over an important part. So I obviously said, "I have not spoken to the Wall Street Journal. I don't know why they think I have." And he said, "Elizabeth told me that the reporter is using complete sentences out of an email that you sent to Elizabeth." And so, I knew that was not true, because I had...

Carolynn: Right, you'd seen them. You'd seen them. Yeah.

Tyler: Yeah, I'd seen it. So that was nice because I could very confidently say, "That can't be true. I don't know how that could be true. I didn't share that email with anybody. There's no way that he's using complete sentences." And so again, it was just another instance where I could see Elizabeth taking a little seedling of a truth and just expanding it.

And so ultimately he did, he ended up saying, "Whatever the case may be, will you just sign this one-page NDA that says you won't disclose trade secrets moving forward?" And I said, "Sure, happy to sign this one page NDA." And he said, "Well, there's actually two Theranos lawyers here right now. Can I go get them?"

Carolynn: That is crazy.

Tyler: I was totally blindsided, because I was very, very specific in saying, "I want to talk to you without any lawyers around," and he had agreed to that. And I also said some other things to him in that conversation that I assumed were private, that I'm not even saying right now on this podcast, that I absolutely would not have said if I knew that there were Boies Schiller's lawyers in the house.

Carolynn: By the way, were they hiding, or where were... Could they have overheard the conversation, I guess is my question?

Tyler: It is absolutely plausible that they overheard the conversation.

Carolynn: Oh, wow. Okay.

Tyler: I don't know exactly where they were.

Carolynn: Okay. But they got there before you?

Tyler: So they were there before me, and I got there before my grandparents.

Jessica: Right. Laying in wait.

Carolynn: That's so devious.

Jessica: I know. So devious.

Tyler: So they were there well ahead of time, and then when I came in, there was no mention that they were there.

Carolynn: That's shitty.

Tyler: It is. I mean, yeah. I still look back on that and just think how bold and crazy is it for Elizabeth to try to pull something like that off, and actually got my grandfather to go along with it in some way. It's hard to know what was intentional and what was maybe an oversight. Maybe he just forgot to tell me that the lawyers were there, but it seems like a really important piece of information to just leave out. And I don't think that's the type of thing he would just leave out on his own. I feel like he was probably told or coached or somehow coerced into not telling me that those lawyers were there

Jessica: And they were waiting with not just an NDA. Tell us what they were writing with.

Tyler: Right. So I said, "Sure, I'll sign this one-page NDA. Go get the lawyers." And so he walked up the stairs to get the lawyers, and my step-grandmother had been sitting there listening, mostly just listening the whole time. And as soon as he had turned the corner, she turned to me and said, "Henry Kissinger thinks this is all fake. He thinks the box doesn't actually exist."

Carolynn: Oh my God.

Jessica: Yes!

Carolynn: Oh my God.

Jessica: Go, Charlotte.

Tyler: Go, Charlotte. And I said, "Yes, absolutely. There's a board member who's a former Secretary of State who essentially has the exact same concerns that I have, maybe not articulated in the same way. He's just saying the box doesn't exist." And I still don't understand why there was so much pressure put on me in this situation when you have a board member who is essentially saying the exact same thing.

Carolynn: Exactly. Well, he has a fiduciary duty, so that's crazy.

Tyler: Yes. And I just told my step-grandmother, I said, "He's absolutely right. We need to somehow figure out how to get the board to listen to Henry Kissinger here." But I didn't have a whole lot of time to talk to her because, again, the lawyers weren't very far. They were basically right around the corner. So we had maybe 30 seconds to talk. And so then, these two lawyers come in, and they did not give me a one-page NDA. They gave me a temporary restraining order, a strongly-worded letter signed by somebody named David Boies, who I had never heard about the time, and then there was also this notice for me to appear in court on Friday morning, and this was on Wednesday night.

Carolynn: Appear in court?

Tyler: Yeah, it was like this notice to appear in court. And I am still a little bit confused by that. I should pull up the documents at some point. But I remember when I did end up getting legal counsel, they were like, "Yeah, you have this notice to appear in court, but there's actually not a specific..." There's something else that they need to register with the court that they never did. There was no specific complaint that came along with it.

Carolynn: Because it's a TRO. Those are usually just done on a much faster track, right, because it's a restraining order?

Tyler: Yeah.

Carolynn: So they must have. But it sounds like they didn't do something correct in terms of procedure.

Tyler: Yeah. It was all very confusing to me.

Carolynn: Wild. Yeah.

Jessica: I have a non-lawyer question really, but I feel like listeners might be interested. So they're sitting here with all these documents. Why in the heck are you going to sign any of them? What is in it for you? Obviously we know why they want you to sign it, but why do they have any leverage over you at this point? You've resigned.

Tyler: Yeah, that's a great question. That's how I felt as well. But they just tried to basically bully me into signing these. They were very aggressive.

Carolynn: So they handed you the pen and they're like, "Here you go, Tyler. You just told your grandpa you were going to do it." And then what were you saying to them?

Tyler: Well, I said, "Well, I told my grandfather that I was going to sign a one page non-disclosure agreement. I'm not a lawyer, but these are obviously not non-disclosure agreements. I'm not going to sign these."

Jessica: Good.

Tyler: And so we argued a lot, and they wanted to actually get names of other sources. And they also did not buy that I was not a source. I told them, "I'm not a source and I don't understand why you think I am," and they said, "It is so obvious. It was our job to figure out who the sources were, and it took us five minutes to figure you out. It was that obvious." And they said, "You need to admit that to us now, and we also need you to give us the names of other sources."

Jessica: How rich is that, Carolynn?

Carolynn: I mean, it's shocking. It's shocking.

Tyler: And I just said, "Absolutely not." I just said, "Nope, I haven't. I don't know why you think I have spoken to the Wall Street Journal, and I'm not going to tell you names of other sources that I may or may not know. I see no reason why. That is not my responsibility here. That's not my job." And my grandfather actually came to my defense on that one. He would say, "My grandson is not a rat."

Carolynn: That's funny.

Tyler: Said, "That's not his job. That's your job to figure out who the sources are." They asked me to see things from their perspective, and they're like, "You can understand how we wouldn't be doing our jobs if we didn't get that information from you." It's like, "You must see that you need to work with us on this." And I just remember thinking, "I don't give a flying fuck about your job."

Carolynn: Exactly. Exactly.

Tyler: Why do I care?

Carolynn: That's such a weird tactic to take, like a Stockholm syndrome tactic.

Jessica: And also the fact that they're springing this on you. No one signs documents that they haven't had their lawyer read. So, keep going.

Tyler: Yeah, and later, much later when my grandfather was deposed, I'm glad that we have this under oath and on the record, he says that the lawyers were, he described them as a wild animal who assaulted his grandson. And it's very nice that I have that while he was alive. He's not alive anymore. So while he was alive, under oath, on the record, because I'm just constantly afraid of their gaslighting attempts, and they would mischaracterize how that meeting went, I'm sure. So it was just so nice to finally get that.

Then my step-grandmother was looking very uncomfortable. In fact, I think in that deposition, my grandfather said something like, "My wife was going to pull the poker out of the fire and start hitting the lawyers with it." She was looking really upset and angry at how these lawyers were treating me. And so I asked her, I said, "Are these lawyers making you uncomfortable?" And she said, "Yes." And so I looked at the lawyers and I said, "You're making my grandmother uncomfortable. This conversation needs to end." And they continued to just press me.

Carolynn: Wow.

Tyler: And then eventually, my grandfather got upset and he stood up and said, "All right, you guys got to get out of my house." And so he kicked him out of the house and then he came back and said, "Well, that was a disaster. Can we just invite Elizabeth over and have a conversation with her?" And I was so tired. I said, "Please, no. I don't have it in me to talk to her right now." And he said, "Well, that's fine. How about we just call her on the phone instead?"

So we went and we dialed up Elizabeth. I could only hear one side of the phone call, but my grandfather said, "We were trying to have a discussion and you sent over a litigator. Tomorrow I want you to send over different lawyers, and you need to send the one-page non-disclosure agreement like we had discussed." So at least he was aware that he also had been kind of coerced into something that he had not signed up for. He was completely taken advantage of in that situation, and he somewhat realized it. He pretty much completely blamed the lawyers and basically said Elizabeth was completely innocent. He thought the lawyers went rogue, that they were not listening to their client, that Elizabeth did not want that to happen, but the lawyers did it anyway.

Carolynn: Yeah, no, that's...

Tyler: Yeah. There's no way.

Carolynn: Delusional.

Tyler: That's completely delusional. And so I went home and didn't sleep at all, and then came back the next morning, and of course it was the same two lawyers that came and they did not bring a one-page NDA. They brought an affidavit. And I don't think I'd even heard the word affidavit in my life at that point in time, which just shows you how unequal the playing field really was. You have these top tier lawyers from one of the most powerful law firms in the country negotiating with someone who has never heard the word affidavit before.

Jessica: Yeah, that's absurd.

Carolynn: That is absurd.

Tyler: And this affidavit says, "My name is Tyler Schultz. I have not spoken to the Wall Street Journal, but here's a list of names of people who have." And then it said, "Under penalty of perjury," and then there was a line for my name.

Carolynn: Oh my gosh.

Tyler: They're like, "Okay, so fill in these blanks with all the sources and then sign your name under penalty of perjury." And even though I didn't know what an affidavit was, I luckily did know that I do not want to commit perjury. So I knew this is a document I do not want to sign. So I said, "I'm not going to sign this," because I'm not going to list names of people I think have spoken in the Wall Street Journal. And luckily, again, my grandfather came to my defense on that one. And then we started arguing again. They were asking me to see things from their perspective.

And so, things were starting to get very heated again, much like they were the previous night, and so my grandfather actually had to physically separate us. So he put the lawyers in his living room and I was in his dining room, and then he was just kind of going between these two rooms to negotiate this affidavit.

Carolynn: Once again, it's not a one-page NDA, so why isn't your grandpa like, "This is wrong. This is not what I was told. We're being bullied here."

Jessica: And my grandson needs a lawyer.

Carolynn: A lawyer. Yeah.

Tyler: I don't know. He just had this huge blind spot for Elizabeth.

Carolynn: I'll say.

Tyler: He would just kind of do whatever she wanted him to do. And again, from the other room, I can kind of hear him berating the lawyers saying, "My grandson's not a rat. We got to take out the naming names part." And I thought that there's no way that they would do that, but they did. And so my grandfather came back to me and said, "You got what you wanted. Go ahead and sign this affidavit." And I said, "No, I still can't sign this

because I literally have in my hand a notice to appear in court tomorrow morning, and as far as I can tell, I can sign this affidavit, but this notice to appear in court doesn't just disappear. So I want this affidavit to say that Theranos won't sue me." And so he wrote, literally in pencil at the bottom of this affidavit...

Carolynn: Pencil?

Tyler: Pencil, he wrote, "Theranos will not sue Tyler for two years."

Carolynn: Two years?

Tyler: Two years. Yeah.

Carolynn: Why did your grandpa pick two years? That's so weird.

Tyler: That was my exact same reaction. I said, "Two years-"

Carolynn: Why didn't he say 10?

Tyler: Yeah. I said, "Two years is not long enough." And he said, "Well, we're trying to negotiate, so we need to find middle ground." I said, "This is not middle ground for me." And so he crossed out two years and wrote "Forever." So now, and pencil at the bottom, it says, "Theranos will not sue Tyler forever."

Carolynn: My God.

Jessica: This is so crazy.

Carolynn: That's so crazy.

Tyler: Yeah. And so then he brings it to the Theranos lawyers, and I again think, I've totally outsmarted these people. There's no way they're going to agree to not sue me. That's the one lever they have. They're not going to give it up. And I was shocked. They agreed to it. They came back-

Carolynn: Because it's in pencil.

Tyler: Because it's in pencil.

Carolynn: They were going to erase it.

Tyler: They also knew that I was lying, and basically, they were calling my bluff. I could tell, when we all came back into the room, I could tell that everybody knew that I was about to commit perjury, and I could sense the feeling in the room. They were in a very good mood. I felt like they're about to get what they want. If I sign this, they're going to be very, very happy. So I was trying to think of new reasons to not sign this document, and I could not think of any of them.

And so in it, it said something like, "I understand my non-disclosure agreement." So I said, "In order for me to sign this, I need to read every word of the non-disclosure agreements I've already signed." So they gave me these copies of these very, very long non-disclosure agreements that I signed when I joined as an intern, when I joined as a full-time employee, and then again when I left the company. So I had a lot of reading to do, and then I was just pretending to read, flipping through the pages, just trying to think of what do I say next? What do I say next? And I couldn't think of anything.

And so eventually what I said was, "Elizabeth has had these lawyers look at this with her best interest in mind, so before I sign this, I think I want to have a lawyer look at this with my best interest in mind."

Carolynn: Yeah.

Jessica: That's brilliant. That's brilliant, though.

Carolynn: Yeah, that's smart. Because I would have actually just dipped out the back door. I would have just left.

Tyler: You just ran.

Carolynn: I would have just ran.

Tyler: But when I said that, my grandfather had this visible eye roll, like, oh my God, this smart-ass kid wanting a lawyer. And so he said, "All right, if my estate attorney says it's okay to sign, would you sign it?" And I said, "Sure." So he said, "All right, I'm going to go fax this to him." So he left the room to go fax the document, and I went into his kitchen and was flipping through their physical contact book, trying to find the phone number of their lawyer. And then luckily, my step-grandmother came in the room and literally slapped a piece of paper in my hand that had a number written on it, and she just said, "Go outside and call him." And so...

Jessica: She's my favorite in this whole story.

Carolynn: She's my favorite, too.

Jessica: She is.

Tyler: She was quietly very, very helpful to me. And she was in a very tough position herself, and she was as helpful as she could be. And so I stepped outside with all these documents and I called him, and he picked up the phone and I said, "My grandfather's about to send you something. He's going to tell you to tell me that I have to sign it, but you have to tell him that I can't sign it."

Jessica: Yeah, yeah, yeah.

Tyler: And he was just like, "Whoa, whoa, whoa, whoa, whoa. Slow down here. Tell me about what's going on." So I told him more about what was going on and he said, "Okay, well, who's representing them?" And to be honest with you, I wasn't paying attention to the names of these lawyers that I was arguing with, but I had this letter signed by David Boies. I thought I was talking to David Boies this whole time. And so I said, "They're being represented by someone named David Boies." And he just went, "Holy shit." Which is maybe not something you want to hear your lawyer saying.

Jessica: No.

Carolynn: By the way, this is also a trust and estate lawyer, so this is the guy who sets up your trust, not like defense.

Tyler: Right. And he has been my grandfather's estate attorney for a long, long time. So I had met him before. I knew he was a nice guy. I hadn't interacted with him a whole lot. But he just said, "Do you know who David Boies is?" I said, "No, I have no idea." He said, "Well, he is known as the number one gun in corporate America. He famously shredded Bill Gates in the Microsoft US government lawsuit, and he's the Clintons' lawyer, and he actually later became Harvey Weinstein's lawyer, and he's just..."

Tyler: ... actually later became Harvey Weinstein's lawyer and he's just been a very high profile lawyer, he's been involved in all kinds of cases. And so this estate attorney said, "This is actually extremely serious. You need to come up to my office right now, I'm dropping everything I have today."

PART 2 OF 4 ENDS [00:48:04]

Carolynn: Nice.

Jessica: Good.

Tyler: Yeah, so that was hugely helpful. So I went back inside and I told the Theranos lawyers I was leaving. I said, "The lawyer wants me to go meet with him up in San Francisco, so I'm going to leave." And they said, "All right, you can leave but you have to be back here by one o'clock. You have to be back here."

Carolynn: Who the hell are they?

Jessica: Who are they to issue these ultimatums? Who do they think they are?

Carolynn: Exactly. Yeah, exactly.

Tyler: And I agreed. I said, "Sure, yeah, I'll be back here at one." So I got in the car, drove up to San Francisco, and

Carolynn: "Later."

Tyler: Yeah. "See you. Peace." And I really grew to this estate attorney quite a bit actually. When I was just totally frantic and panicked, he was this very calming force to kind of have on my side that day. And when it seemed like... He was taking his time to read the documents and understand things, and I was kind of like, "We got to speed things up here. I have to be back there at one o'clock." He was just like-

Jessica: "No you don't."

Tyler: "There's no way you're going back there at one o'clock. There's no way."

Jessica: Good. So we're not doing that.

Tyler: Yeah. And we kind of spent the day, he was kind of arguing with the Theranos lawyers on the phone all day long. And I went to bed that night with that TRO notice to appear in court the following morning. And I woke up to an email from the Theranos lawyers saying that they were going to give me more time to negotiate with them. And this kind of kicked off this horrible, horrible cycle where it would feel like we're about to go to court, we're about to go to court. And then they would pull it away at the last minute and say, "We're going to give you more time to negotiate." And we just did that over and over and over, where we would start the negotiation process over again every time, which was so frustrating.

Jessica: Oh, designed to exhaust you, by the way.

Tyler: Yes.

Jessica: This is a war of attrition. Right?

Tyler: It absolutely was. Yeah. And I didn't realize that until probably too late. But at that point in time, the estate attorney said, "I like you and all, but this is not my field of expertise. You need to find a new lawyer." And he made a really good recommendation to somebody. And at that point in time, I lawyered up in every single way. I had a highly specialized IP attorney who was kind of my main counsel, the quarterback of the team. But then I also had a criminal defense lawyer, I was working with a litigator, I was working with a defamation lawyer. I was working with whistleblowing attorneys.

Jessica: Wow.

Tyler: I just had all of these lawyers, and I told them, "my goal is to stay out of the courtroom if possible. I don't want to go to court. I don't want this to consume my life. I want this to go away. So just keep me out of a courtroom." And so that was the main goal. And quickly realized this is going to be very, very expensive. I did end up spending around \$400,000 to \$500,000 in legal fees. It was very intense, it got very scary. They had private investigators who were following me. I knew they were following me because I received a tip, and kind of what I was told, that whether I'm aware of it or not, it's like 80% to 90% of the time I'm in public I'm being watched.

Jessica: I'm assuming the goal was to intimidate you, but they also think they were going to bust you meeting with the Wall Street Journal reporter or with other reporters?

Tyler: I think it was probably under the guise that they wanted to know who I was talking to, who I was working with, who are the reporters I was maybe talking to. I don't think that was the real reason. I think the real reason they were following me was because they wanted me to know that I was being followed and they wanted to scare me.

Jessica: Yeah. So it was all about intimidation and not about actually collecting information?

Tyler: Yeah. Because they didn't really hide it all that well.

Carolynn: Yeah. And you weren't going to go like, "Oh, here, I'm meeting with another source."

Jessica: Yeah, you wouldn't have done that anyway, so.

Tyler: Yeah.

Jessica: So it's super expensive. Your parents think they're going to have to mortgage their house. Right?

Tyler: Right. So I admitted that I had spoken to the Wall Street Journal. My argument was that I had not told him trade secrets. Their argument was that you did tell him trade secrets. The court case would've been, are the things that I told him trade secrets or not trade secrets.

Jessica: Trade secrets. Right.

Tyler: And so my belief was they would not be considered trade secrets.

Jessica: Right. Because, fraud.

Tyler: When I finally went, and this was like the root of all of this legal tension was is this a trade secret or not?

Jessica: Yes.

Tyler: Which is why when I finally did go on the record with the Wall Street Journal, fast forwarding a little bit, the statement that I gave to them was, "Fraud is not a trade secret."

Jessica: There you go. Let them have it.

Tyler: That was the root of my argument.

Carolynn: Yes.

Jessica: So quotable, "Fraud is not a trade secret." Exactly.

Tyler: Yeah.

Jessica: Okay.

Tyler: And what they wanted me to do, so at that point in time when I was saying, "I want to stay out of a courtroom." They would say, "Okay, we won't take you to court, but you're going to sign these affidavits." And what they were trying to do was to try to get me to retract things that I'd said to the Wall Street Journal. And I was refusing to do that.

Jessica: Yeah.

Carolynn: Wow.

Tyler: And basically what I ended up telling my parents when they were begging me to sign these affidavits that they had never seen, they were saying, "Your grandfather called. And he said, if you have any control over that son of yours, get him to sign this document and this will all disappear." And I should also add that when, going backwards a little bit, when my grandfather said, "There's this one page NDA that you should sign." He said, "If you sign this one page document, it will end a world of suffering for you."

Carolynn: Wow.

Tyler: And so I'm sure he was saying similar things to my parents on the phone. "We've given Tyler this opportunity to end this suffering, and he's chosen to not end it, and he's being completely unreasonable." So they were begging me to sign these affidavits. They said, "We will sell our house to pay for your legal fees. But please do not make us do that. Just sign this document and let it go. This is not your responsibility. This is the responsibility of the FDA, of CMS, of the SEC, of the DOJ, of the FBI. This is not a Tyler problem anymore. Give up."

Jessica: And those affidavits would've forced you to say, I lied to a journalist about what's going on at Theranos. Is that what you would have had to have declared in those affidavits?

Tyler: Essentially? Yeah.

Jessica: Okay.

Tyler: So I still am not supposed to talk about the specifics of those affidavits-

Carolynn: Okay, don't.

Tyler: ... because I guess I don't know, the confidentiality agreement was not between me and Theranos, it was between me and the law firm. So I am pretty careful to not talk about the specifics of those affidavits. But I can tell you the goal of the affidavit was to get me to retract statements from the Wall... They were trying to kill the Wall Street Journal,

and pretty much everything you can invent in your head, the types of things they would try to get me to do or say is what the affidavits were.

Jessica: And by the way, the article hasn't come out yet, right? Because is John still trying to research it?

Tyler: Right. So he's still trying to publish. He's trying to get comment from Theranos, and the same legal pressure is being put on him and the Wall Street Journal.

Jessica: I was going to bring this up.

Tyler: At the same time.

Jessica: Simultaneously, they are going gangbusters against the Wall Street Journal. If you read *Bad Blood*, which is such an excellent book. He talks about the insane pressure that he was under, and luckily his editor stood up for him. And Murdoch, the ultimate owner of the Wall Street Journal, stood up for that Wall Street Journal. So it's-

Carolynn: [inaudible 00:55:49] for the First Amendment?

Jessica: ... incredible the amount of attack, attack attack they were showing on.

Tyler: And what was crazy is while this was happening, I learned that Rupert Murdoch was an investor in Theranos.

Jessica: Oh.

Carolynn: Oh, really?

Tyler: Yes.

Carolynn: I didn't know that.

Tyler: Yes. So Rupert Murdoch owns the Wall Street Journal and invested, I think \$125 million into Theranos.

Carolynn: Oh, wow.

Tyler: And not that long before all of this happened, just maybe a year-ish.

Jessica: And Carolynn, to his credit, though, correct me if I'm wrong, Tyler, when Elizabeth went directly to Rupert and asked him to make the Wall Street Journal stop, he said, "You know what? They're reputable. You can trust them. If their story doesn't check out, they will not publish it."

Carolynn: Right.

Tyler: Right.

Carolynn: Wow. That's amazing.

Tyler: That's what I've heard as well, that he did a really good job of standing out of the way and saying, "If this is all untrue, you're in good hands." I think the other thing that I've heard, I don't even remember where I heard this, was that he made some comment like, "Why do you have all this security following you everywhere? I'm an actual billionaire and I don't have this much security."

Carolynn: I love that.

Jessica: That's great.

Carolynn: So all this craziness is going on. You're totally stressed out. At what point in the process did you start really going to the lowest point and cutting yourself off from people? Was that after the article came out or before?

Tyler: It was before.

Carolynn: Okay. Can you tell us a little bit about the lowest point?

Tyler: Yeah. So probably the lowest point is before the Wall Street Journal has published, I think they're going to publish, but at this point, I've completely cut off communication with John for obvious reasons. So I don't know for sure if they're going to publish even. But I know if they did publish, I was so afraid that someone was going to send me a text or something and say, "Oh, I remember you saying X, Y, Z back in 2013 when you worked there." And I was so afraid of those texts and then being subpoenaed, and then I didn't know how hard fairness was going to come after me after the articles came out. And then they would use that against me to show that I was pretty loose with their trade secrets. And what I had learned by that point in time was that you cannot destroy evidence. And so I was not destroying evidence.

Jessica: Spoliation is our fancy word for that.

Tyler: Yes. You're not allowed to destroy evidence, but you are allowed to not create new evidence. So I blocked every single number in my phone. Went through my phone book one by one, block, block, block, blocked every single number.

Carolynn: Oh, wow.

Jessica: Oh my God.

Tyler: And I was also just so stressed out all the time. And small questions if I met up with a friend like, "How are you doing?" Would just freak me out, would just make me so stressed that I decided that it was easier to not see friends anymore.

Carolynn: Were you married at this point?

Tyler: Nope. I was not married.

Carolynn: Not married. Okay.

Jessica: That comes at the happy ending, Carolynn, we're still in the bad part.

Carolynn: I'm sorry. I didn't mean to. I'm sorry, I didn't mean to skip ahead.

Tyler: So I really truly isolated myself. I was working a lot. And after Roche, I went back to the lab at Stanford and I found it to be very therapeutic to go in and work on lab work and try to focus on something else. So I was putting a lot of hours in at the lab and a lot of hours in with my legal counsel and not a lot of hours sleeping or having friends. And that was just very, very dark days. Very, very lonely.

And really the only way you could communicate with me was over Snapchat. And I liked that for two reasons. One, the messages disappear, which was great. And I thought, if Theranos has some lawsuit with Snapchat, I would never lie, I would say, "Yeah, I communicate with people over Snapchat." And if Theranos sued Snapchat to get a hold of those messages, I thought that would be kind of a fun spectacle for me to watch happen. But really the main reason was that there are types of conversations that people will have with you over the phone or over text that they will not have over Snapchat. And those were the types of conversations I was trying to avoid. But for the most part, I just mostly stopped communicating. And I was very lonely, and at some point I thought it would be really nice to talk to somebody who actually didn't know me before. So I did get on Tinder and started going on Tinder dates, and so that was kind of a good distraction for me.

Jessica: I was just going to say a nice distraction.

Tyler: But I... Go ahead.

Jessica: You slept with a knife next to your bed?

Tyler: Yes. Yeah, I was terrified. My mental health was terrible. So after my parents got their lawyer, after they'd met with her for the first time and they exchanged documents and notes and whatever, she went to a wedding, and during the wedding, someone broke into her car and stole her briefcase that had all those documents and notes.

Carolynn: No way.

Tyler: And it is likely a complete coincidence.

Jessica: No, it's not.

Carolynn: No, it's not.

Jessica: Come on.

Tyler: But it did not feel like a coincidence. I'll tell you that much. When you know you're being followed by somebody, when you know the extent to which you're being bullied, when you know how fiercely they protect themselves, I just realized I did not know where the line was. I didn't know if maybe they would be capable of breaking into a lawyer's car and stealing a briefcase. I don't know, probably. And then I felt like maybe they'll try to kill me. And I thought Sonny would try to do it himself. He'll show up at my house one day and take me out. So there were times when I would hear a rustling outside my window and my heart rate would just skyrocket. It would go up to 180, and I would just be laying there in bed thinking tonight's the night.

Jessica: And could you tell your roommates that this was going on, or no?

Tyler: I did not. No, I could not tell my roommates. And at one point I was also told that I shouldn't be too surprised if the FBI shows up at my house and goes through it and looks for documents or things, laptops. And so I was thinking maybe it would be a good idea to give my roommates a heads-up that it is not completely implausible for the FBI to show up and rummage around their stuff. But I just didn't know how to tell them that without just setting off all kinds of alarm bells. So I decided to not tell them.

Carolynn: This is still so perplexing because I would've thought your criminal, all your lawyers would've been like, "Yeah, the FBI doesn't care about this. These are not state secrets we're talking about." Right? So why would the FBI care? It just seems like-

Tyler: I don't know.

Carolynn: ... every bullying tactic, and I would've thought your team would've been like, "Tyler, you're being bullied. Ignore. The FBI is not coming to search your apartment." But I don't know, maybe it's more complicated than I'm realizing, but that just seems so implausible.

Tyler: I don't know. It does seem very implausible now. But when you look back, when I was in that moment, it just felt like-

Carolynn: Oh, no. I believe you felt that viscerally. But I'm just saying, I'm sad that, and maybe your legal team did do this, but I would've hoped they would've been like, "No, no, no, no, no. This is, don't worry about it. Please don't worry about it."

Tyler: In general, I did find I really liked my legal counsel. I found them to be very comforting.

Jessica: That's good.

Tyler: But they were also, I think they were hyper defensive. They were hyper, hyper defensive. So they just wanted to let me know if the FBI shows up, don't be too surprised. Let them in. You've given us everything you need to give us, it will not be that big of a deal if the

FBI I shows up at your house. They also would say things like, "If you go to a bar and this really pretty girl starts talking to you, don't trust her."

Jessica: Oh my God.

Tyler: "We've seen it before where they send someone out to go flirt with you and collect information." They're like, "Just don't believe it. Just"

Jessica: They need to make a movie of just your subplot of this whole story and get Elizabeth Holmes. Can I just point a tiny little thing to Carolyn just in case you missed this. The lawyer who had her documents stolen out of her car, that was his parents' lawyer that they hired to communicate with Tyler's lawyer so that Tyler could tell his parents what was going on. He didn't even feel comfortable confiding in them directly.

Carolynn: Right. No. That's so sad.

Jessica: How insane is that?

Carolynn: It's insane. It's insane.

Tyler: Yeah. And my lawyers thought that would be a good idea because again, I couldn't talk to anybody, and it was clear to us that they were getting a lot of misinformation from my grandfather. So they said, "Should we set up your parents with lawyers so that their lawyers can come and we can come and you can talk to your parents with everybody's lawyers around?" We set that up. But then it turns out that talking to your parents with a whole bunch of lawyers around is not quite the same as just confiding in your parents.

Jessica: No.

Carolynn: Yeah.

Jessica: No way. So are we missing anything critical before the Wall Street Journal article does come out? Is there any other important plot line?

Tyler: I don't think so. I think that mostly covers it.

Jessica: What's the timeframe we're talking about here? How long was this period?

Tyler: This was probably around four months.

Jessica: Okay, so roughly Thanksgiving, four months go by?

Tyler: Yeah. So we had Thanksgiving and then it was that May after Thanksgiving that there was that incident in my grandfather's living room.

Jessica: Oh, okay.

Tyler: And then the Wall Street Journal finally releases their reporting in October. So it's pretty much from May to October.

Carolynn: Got it.

Jessica: Got it. Okay.

Tyler: That whole summer.

Jessica: So you are at a really low point, your mental health is just in the toilet. You have lawyered up, your parents are worried they're going to lose their house, everything. You can't confide in anyone. The Wall Street Journal article comes out and you didn't know because you've ghosted John Carreyrou at this point. What happens when that article comes out?

Tyler: So when that article came out, it actually came out late one night. So it was like the evening before it was on the front page of the newspaper, and I read it and I was hugely disappointed. I just felt like the Wall Street Journal had pulled a lot of punches. I felt like there was a lot more they could have gone after here. And I thought, this is not enough. Elizabeth will come back to that, she's going to come out swinging, and she might come out on top. And if she does, she's going to make sure she takes me down. So I was scared. But what I didn't realize was that the Wall Street Journal had planned a series of reports. It wasn't just the one article. It was like punch after punch after punch that went on and on and on. And initially Elizabeth did fight back with everything she had. And as time went on, eventually I think they kind of gave up, they stopped. But based on the Wall Street Journal reporting, CMS did this big inspection, the FDA did a big inspection.

They said that there were practices in the laboratory that put patient's health in immediate jeopardy, and that Elizabeth wasn't allowed to be the CEO or operate a lab for two years. And to some extent, I was surprised at what they were able to find. Theranos had documented some of their crimes really well. I had been saying things like quality controls failed, and then we chose to run patient samples anyway, which is clearly illegal. But I thought there's not going to be a record of that, they're smart enough if they're... They're smart enough to delete the records. Right? I guess not. They recorded, "Quality control failed, patient sample ran." And so I think when CMS went in and did their inspection, it was pretty cut and dry pretty obvious that Theranos was breaking the law.

Jessica: Maybe because Elizabeth wasn't down in those weeds to do that.

Tyler: Possibly. I also, when I was there, I remember people talking about the possibility of keeping two sets of books. One where they actually kept track of things for their own internal purposes, and then another set of books that they would show to regulators. And so apparently that wasn't implemented because the regulators found the stuff that they were going to try to hide.

Jessica: Maybe it was a mini rebellion by the current employees.

Tyler: Yeah, it could be. Some current employee thinking, yeah, we're going to show this.

Jessica: Yeah. Okay. What was the spacing of these articles? Was it like one every two weeks, or what was the pace?

Tyler: It was varied, for sure. Initially it was pretty rapid. I think the second one came out only a day or two after the first one. And then after that, it was probably every week, two weeks for a little while, something like that.

Jessica: And what happens to your legal wrangling while these articles are being published?

Tyler: So it seems like they, at that point, kind of moved on from me. I stopped hearing from them for the most part. And so I think they realized they just had bigger fish to fry, more important things to worry about.

Jessica: I'll say.

Tyler: The story was out there. The story was out there, maybe it was less useful to keep bullying me. So they mostly moved on from me. But I still felt like I was being bullied in a number of ways. One of the biggest ways was almost a year later, the board releases a statement saying that they still give Elizabeth 100% of their support, and I just couldn't believe it. After I had been fully vindicated, it just drove me crazy that my grandfather was still on the board and they released this statement, and I was just so disappointed in him. And there were even things that I had told him that he just flat-out didn't believe that had then been proven over and over and over again in these articles. When I told him, like I told you earlier in last episode, that when the CLIA inspectors came to give us our certification, they weren't shown the lab that had the Theranos devices. I had said that, and it just sounds too implausible to believe.

And then David Boies was actually asked to comment on that, and he said, "Well, the inspectors never asked to see that room." But in saying that, he's confirming that what I said was actually true. So all these things where I felt like I was being gaslit, where I saw something happen, and they're like, "No, that didn't happen. That didn't happen." Finally, I had proof where I'm like, "Yes, that did happen. It's in writing. It has now been confirmed by your own legal counsel." And yet my grandfather still didn't believe me. He still wasn't on my side, he still supported her.

And around that same time, I learned that I was still being followed by private investigators because I hadn't spoken to John Carreyrou in a very long time, and he had sent me an email saying, "Hey, I happen to be on the Stanford campus if you want to meet up for lunch." So I had met up with him, and then two days later I got notified by the Theranos lawyers that they knew I was meeting with him again. So they were following somebody, whether it was me or whether it was John, who knows, but they were following somebody.

Carolynn: A year later they were doing this.

Tyler: Yeah.

Carolynn: It's wacked.

Jessica: That's all that money those investors put in, it's being spent on... I mean.

Tyler: Yeah, it really was.

Jessica: Well, legal fees for the most part, but also people to tail you.

Tyler: Yeah, mostly legal fees.

Carolynn: Since we are the social radars, I do want to ask you a quick question about your grandfather that you shared in your audible, Thicker than Water book, which was excellent, or interview. Were you...

Jessica: ... which was excellent, our interview, where you went to his house and read him a letter that you had crafted. Can you roughly say what was in that and how he responded?

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Tyler: Sure. Essentially that was in response to the board putting out that statement. And I thought at this point, it's fine if he wants to support Elizabeth over me, but I'm going to make sure he looks really bad doing it. And frankly, I don't think he's going to have the guts to continue supporting Elizabeth once it publicly looks so bad for him. And so I thought, I'm going to go on the record because they're still following me with private investigators. My grandfather's still on the board. They were doing a number of other things where I felt like they were still bullying me, and I felt like... Literally I felt like, why am I the one who feels like I need to hide? They need to hide from me. They should be the ones who were afraid. I've done nothing wrong. I will put my name on this. And so I decided I'm going to go on the record. But before that, I did want to give him really one last opportunity to do the right thing, just mostly to be fair to him.

And I also wanted to understand why, so I went over to his house and I asked him, I said, "How are you still supporting Elizabeth? The only reasons that I can see are that you are in love with her and you will defend her over your own actual family, that you are greedy and you've invested too much money, or you just can't bear to see your stock options go to zero. Or you're just old and you're not really comprehending what is happening here. And if that is the case, just please say something because we will find people to step in for you and get you out of this situation."

And I said, "It might feel like it's too late, but it's not too late for you to get out of this. It's not too late to do the right thing. You can be the board member who says that that statement did not speak for you. You can be the board member who said that Elizabeth lied to you, she lied to investors, she lied to the other board members. She lied to doctors, she lied to patients, she lied to the media and that she needs to be held accountable. It is not too late to do that." And his response was mostly that Elizabeth

would be unveiling the technology at the AACC conference in a couple of weeks and that it was going to blow everybody away.

He just still believed, he believed in Elizabeth, he believed that there was some magical technology inside this black box, and he started speaking at a very, very macro level. He was talking about how we were in this huge healthcare crisis in the United States and that we need to rely on innovation to increase affordability and accessibility. He was still believing these pie in the sky type vision that Elizabeth was selling him, which is again, it's like he's a hard person to argue with because what he's saying is true. Yes, there is a healthcare crisis. Yes, we need innovation. Yes, we need to do all these things, but this is a fraud.

Carolynn: Do you feel like he heard how painful it was for you as his grandson? Was there any kind of a recognition on his part that I'm hurting this person I love?

Tyler: There didn't really seem to be. Maybe to some extent. I don't know. He would say things like, "I want to help you, but I can't make a splash." He wasn't willing to... Maybe he wanted to leave the board, but he didn't want it to be a big deal. I think when I gave him all three of those options, I think they were all three were true to some extent. I think he was in love with Elizabeth. I think he was very greedy. I think he also maybe did want to get out to some extent, but didn't really quite know how.

And I didn't know it at the time, but his stock options were worth quite a lot. I don't remember exactly how much, but I think in the order of hundreds of millions of dollars. And that's just a blinding amount of money to somebody, especially to someone on a board where a board member is supposed to be looking after the interests of the shareholders. But when you as an individual shareholder have that much, you start looking after you, not after the shareholders. It's impossible. You need to be capable of having some form of objectivity, and he could not have that.

Jessica: You gave him every opportunity you possibly could.

Tyler: I absolutely did. And so after that, I just thought his life is essentially ending and mine is essentially beginning. I have to stop worrying about what happens to him and I need to do what's best for me. And what's best for me right now is clearly to go on the record with this story because I felt like, again, I was just being bullied. I felt like they needed to respect me, and I felt like they were holding my grandfather hostage, and they were basically saying he's never going to stand up for himself because it would make his grandfather look so bad. And so I just felt like I have to stop worrying about that.

Jessica: You go on the record and how did that feel when that article came out?

Tyler: That was the best feeling that I've maybe ever had in my entire life.

Carolynn: Wait, first, did you talk to your whole legal team about it?

Tyler: Yes.

Carolynn: And what did they say?

Tyler: They did not like the idea at all.

Carolynn: You're like, "Guess what I'm going to do?" And they're like, "Oh, God." But you went and did it anyway, and then it all comes out and you're like, "I made the right decision."

Tyler: A little bit more on what happened there? Of course, my legal team said, this is a terrible idea. I talked to my parents about it and they just again, they begged me not to. They said, "You barely escaped David Boyce the first time, and now you're just opening the door and inviting him into the living room. If you go on the record, they will have no choice but to come after you and try to sue you for defamation." And what I told them was, "I know me and I know this feeling that I'm feeling right now, and either we can work on this together and make decisions together and do this in a controlled, productive way, or you can convince me to not go on the record, and then at some unknown point in the future, something's going to trigger me and I'm just going to let it all out. That's what's going to happen?"

Jessica: I'm going to be uncontrolled.

Tyler: And they convinced me to not go on the record. And then sometime later, just like I said, there was a trigger that just got me really mad again. And I just called John Carew and said, "You know that story that I told you at Y2E2 when we got lunch a few months ago? I want to go on the record with that story." And I didn't tell my parents or my lawyers until after I made the call and basically said, "Well, here's the situation we're in now. Let's find a way to move forward." And we did. It was very tough. Again, I did not make it easy to be my parents, but they were very frustrated, furious with me at the time as were my lawyers. But then once the article did come out, my parents said, "We're really proud of you. Great job not listening to us. You did the right thing."

Jessica: Your parents must be so proud of you. And actually, I know we're coming to the end of our time here. There's a few points that I want to get across, and one of them is how impressive you are standing up to all this fear and intimidation and no one believing, you really are a role model. I hate when people do this, but I have to read a few little sentences from John Carreyrou's book, Bad Blood. It's at the very, very end.

And he talks about when he met you after the article came out and you had not talked for a long time, and he said, "For the next 45 minutes, I listened, dismayed as Tyler told me about the ambush at his grandfather's house in the months of legal threats he'd endured, despite it all, he had never buckled. He had steadfastly refused to sign any document Boies Schiller had put to him. If not for his courage, and the more than \$400,000 his parents had spent on his attorneys, I might never have been able to get my first article published, I realized. I felt pangs of guilt for having put him through such an ordeal." I'm getting goosebumps just reading that. Honestly, thank you. I think so many people are indebted to you for playing such a pivotal role in this whole process of exposing the lies that were Theranos.

Tyler: And it certainly feels good to know that it was not for nothing.

Jessica: It was not for nothing.

Carolynn: How did you pick your pieces of your life back up? Give us a happy ending here.

Tyler: Again, just trying to focus on other things. I was very focused in the lab at Stanford and working with this incredible technology we were working with. And then we ended up spinning that out into a startup. And then I did go to... I was named one of Forbes 30 under 30 in healthcare and went to a conference that they were hosting in Boston. And one of my housemates who I was actually living with when I worked at Theranos had gone to Boston for medical and dental school. And so I was just staying on her couch during this conference. And we had been really good friends through college, and then we lived together after college, and we were really just best friends for so long. But I think that distance finally pulled us out of the friend zone, and we were at a concert and we started dancing at the concert together. And then somehow during that week long conference in Boston, we started dating. And so then I went home and turns out I was dating my best friend by the time I got home.

And now we are married and have a kid, long story short, but what was really amazing about that was, I was depressed, there's no doubt in my mind that I was clinically depressed, and I just didn't realize it at the time. And when I spent that week in Boston with her, it was like she didn't know that dark, depressed version of me. She only knew me from before Theranos. And then I became that person again when I was with her. We just had so much fun together, and it just reawakened this part of me that had kind of died, and it was just this very beautiful, happy ending. And I would say pretty much every year, or even every month since I went on the record with my story with the Wall Street Journal, my life has gotten better just month, over month, over month, it's just been getting better and better and better and better, which is just I'm so grateful for. And I recognize it as not the typical trajectory for most whistleblowers, so I'm just incredibly grateful for how this has played out for me.

Jessica: Well, we are so happy for you. I know you do a lot of public speaking now about this, and you share your story and you're a great role model for especially young people. What would you tell founders, and I know that Theranos story was such an aberration and it's not really going to happen again, but what would you tell a person who works at a startup about how to speak up or how to alert someone?

Tyler: Sure. I need a lot of time for this, but first of all-

Jessica: Sorry.

Tyler: ... I used to also think this could never happen again. Too many things had to go wrong for this to happen, it could never happen again, but then we collapsed and then FTX collapsed and it seems like these things will keep happening again, actually. I do a lot of speaking, like you had mentioned, and after every single speaking event that I go to, somebody comes up to me afterwards and says, I've experienced something extremely

similar just at a different scale and maybe in a different way or maybe just this piece or that piece. But I have learned that there are shades of Theranos everywhere, everywhere.

And so I think it's really important for people to hear stories like this and to recognize what tools are available to them. One tool that I wish I had known about at the time was protected government whistleblowing channels of which there are many. The SEC has a great one. The Department of Justice just released a new one, actually. There's one with the IRS. There's another one called the False Claims Act. And I specifically want to highlight the SEC because with their program, the whistleblower is able to recover 10 to 30% of what the SEC recovers if there's a settlement in the lawsuit.

Jessica: Nice.

Carolynn: Nice.

Tyler: And what I think is absolutely amazing about that is that, yes, it's great that whistleblowers can get paid for blowing the whistle because it most of the time does completely upend your entire life. And so I think it is good to compensate for that. But what is almost more important is that it has created an industry where there are lawyers who will work for free on contingency. If that whistleblower does collect a reward, the lawyer gets paid some amount of money. And so what's amazing is that there are people like me who have not collected a reward and may never collect a reward, but have benefited from free legal counsel from these types of lawyers. And so I think that is absolutely fantastic. My number one piece of advice is if you are in a situation anywhere close to this one is to go talk to a lawyer. And it's very possible that you can talk to a lawyer for free, which I think is oftentimes the biggest barrier to talking to a lawyer.

And then to founders I also recommend being very, very conscious and intentional about how you go about building a culture. Because what we saw at Theranos was Elizabeth over 10 years built this culture of fear. And at your startup, you need to do the exact opposite. And another thing that Theranos did really well is they took every opportunity to reinforce that culture of fear. And at other organizations, at your organization, whoever I'm speaking to is you need to take every opportunity to do the opposite of that. It's like whether the discretion is a big fraud or whether it's something very small, you need to take it seriously and you need to really test the internal tools that you have, whether either from the company side or from the whistleblower side. A lot of companies do have internal whistleblowing tools that if you're an employee, I would recommend using and getting used to using before you see the giant fraud. Start with the small stuff and take the small stuff really seriously. And I like to say, flex that ethical muscle and get used to doing the right thing when you see it.

And I just think that so often in our lives we see some transgression and we don't do anything about it. And I think a good place to start is to just recognize when that's happening, recognize, oh, that made me uncomfortable and I didn't do anything. What can I do next time? And then try to do that. And then you'll learn what types of resources are available to you. You'll learn who your support network is. And I also think it's a great way for companies to show that they're actually accountable to their core

values. And first of all, I think a lot of startups don't even have defined core values, so that is one piece of advice is... Actually, even the ACFE, the Association for Certified Fraud Examiners, has a lot of data. And one of the most interesting things is that companies that just have defined core values pay less fines. Just by the act of defining core values and communicating that to your employees, you end up incurring fewer fines, which I think is just amazing. It's a relatively simple thing to do, to go through an exercise of defining core values.

And then when you see these, I don't know what to call them, like instances where their core values are challenged, you use those as moments to show your employees that you're accountable to those core values, that they're really important to you and that they should be important to your employees. And I think that's how you go about building this culture. And if you're intentional about it for 10 years, I think you can end up with a really, really great culture where you're not just avoiding being a big fraud, but it's actually like a superpower because it allows you to see problems before they really grow into these huge issues that can truly threaten the existence of your company. And it's almost like it allows you to see around corners in some ways. It allows you to hear what your employees are thinking, but not actually saying.

Carolynn: I think that's such an important point because I think most founders don't set out to ever be unethical. I think what it is, is this very slow chipping away because you can always rationalize doing something that you think is going to increase shareholder value or because your board nudged you or one of your big investors. And so it's like what you're saying, if you just exercise this muscle a little bit all the time, then that slow chipping away gets counterbalanced.

Tyler: Exactly. And if you have those core values, then it's something to hold yourself accountable to, and you can see when you're starting to make decisions that don't align with those core values. And so it's at least like you're setting some kind of goalposts. You're at least cognizant of when that moral slippage starts to happen. And it gives you a much stronger foundation on which to stand.

Carolynn: That's really important.

Jessica: Awesome. Well, it's a tragic story on so many levels, but I'm so happy you're out on the other side and you have your happy ending. And just again, I think I can speak for Carolynn, we're just so impressed with you. I want my sons to hear your story and hope that they have the courage to stand up for what they believe is right, even though it's very difficult. It's an understatement what you did.

Carolynn: It's amazing. It's amazing. And it has everything. There's so much schadenfreude in this story, so much drama and sadness, but also just the ending, it's amazing.

Tyler: Just to conclude, I do want to point out that I met Elizabeth when I was 20 years old and I'm now 33, so this was a decade plus long saga that we just went through in two podcast episodes.

Jessica: Sorry, it's hard to capture it all. You really should write a book someday.

Tyler: I hope I do. I'm actually no longer working on the startups that I had been working on, so I have a little bit of space. And one of the things I want to do now is speak and just communicate more intentionally about my experience at Theranos to either help whistleblowers, to help companies build things the right way. And for better or worse, I think there are lessons for boards, for investors, for the media, for employees, for executives.

Carolynn: Hell, yeah.

Jessica: Yes.

Tyler: The list just goes on and on and on.

Jessica: It does.

Tyler: There's so much to learn, and so I do think one of the ways that I can go about that is by finally writing a book, so we'll see. I'm very, very busy being a new dad right now, but once he goes to daycare, I'll certainly have more time on my hands and maybe I'll get around to writing a book.

Jessica: Thank you so much for coming on. We absolutely loved it. I know our listeners are going to love it and can't wait for these episodes to come out.

Tyler: Yes, it'll be great. It'll be exciting.

Carolynn: Thank you so much for all this time. It was so cool to hear you tell this story live. It's amazing. Thank you.

Tyler: Thanks for having me. I know you have an audience that I'm definitely trying to connect with, so I hope there's a lot of founders out there or people who work at startups in any capacity that can learn from this, and hopefully the next generation of startups can do better.

Carolynn: Yes.

Jessica: Awesome. All right, that's a great place to end. Thank you so much.

Tyler: Thank you.

Carolynn: Thanks, bye.

Jessica: Bye.

Tyler: Bye.

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